The key point is that fundamental economic decisions shouldn't be affected by the ownership of additional foreign oil assets. However, because of pressure exerted by small, powerful, affected interest groups, politics will intervene and oil windfalls will inevitably be spent in unwise subsidies. As a result, the acquiring country will, if anything, make suboptimal economic decisions because of the financial windfall available through hedging.

But let's assume the country always makes the right economic decisions. Does hedging lead to more financial security? A hedge will always look beneficial if one looks backward after the price has risen. But if the price of oil had fallen, citizens would have suffered a loss of income and wealth from having bought foreign oil assets (relative to having instead invested the money elsewhere). Assuming the foreign oil assets were priced fairly at the time of purchase, the country benefits only when the hedge helps smooth its income and wealth. This isn't obviously true even for a country that relies heavily on oil.

For instance, in a large country like the United States or China, which account for a significant portion of world demand, the world price of oil is likely to be high when the country is growing strongly and citizens have lots of income, whereas the price is likely to be low when the country is doing poorly. Foreign oil assets are a bad hedge in such a case for they subtract from citizens' income when it's already low and add to it when it's high. Indeed – and this may seem heretical – the country might be better off selling its domestic oil assets to foreigners and investing the proceeds in non-oil assets.

Even if owning oil assets is a useful hedge (as in a small, oil-consuming country), it's not clear that buying stakes in opaque companies in poorly governed foreign countries is the way to go. As the oil price increases, a poorly governed country is more tempted to expropriate foreign owners of its oil industry through extortionary